

When we use the term 'emotional', we mean that our financial decisions are based on our intuition and opinions of friends and family. Logical decision making means that we evaluate every situation, consider the pros and cons, visit an expert and then take a call. If we do a little bit of both, we need to stop and decide which one is the more prominent method.

Risk-seeking behavior is where a person is open to the idea of taking more risks in anticipation of higher returns. He has comfort for higher-risk situations. On the contrary, risk-averse is where the person is not open to taking higher risks.

Aggressive	• High Risk Taking Ability • Easily influenced by others	• High Risk Taking Willingness • Not influenced by others
Defensive	• Low Risk Taking Ability • Easily influenced by others	• Low Risk Taking Willingness • Not influenced by others
	Emotional	Logical

We need to identify which quadrant we fall into. This will help us in the planning stage i.e. Part 3. Also, know that there is nothing good or bad about any quadrant. Just be honest, people in any quadrant can manage their plan very well.